In bill market, short term funds (usually 90 days) are bought and sold. The bill market consists of two markets, one is commercial bill market and another is Treasury bill market as shown in figure 6.8.

Commercial Bill Market

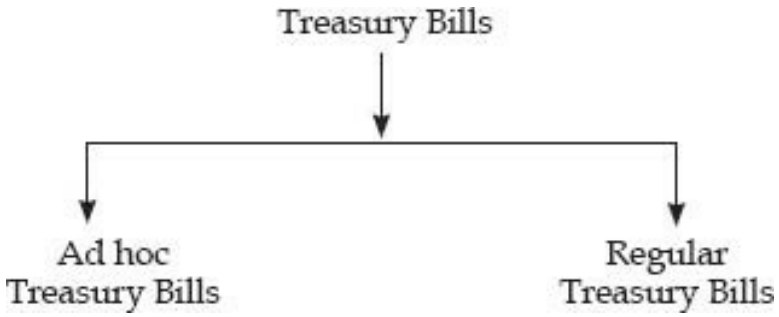
Commercial bills are bills other than treasury bills. They are issued by industries and traders.

Treasury Bill Market

Treasury bills are securities issued by the Government treasury. They are of short term in nature. In this regard, they differ from market loans. They are non-interest bearing (zero interest/ zero coupon). These kinds of bonds are called Zero coupon bonds. They are issued at a discount rate. For example, a security worth of ₹1000 may be issued against receipt of amount lower than ₹1000. The purchaser of security can redeem the full ₹1,000 at a particular date (maturity date). This is called redemption **at par** (original value).

There were two types of Treasury Bills. They are shown in the following figure 7.9.

Figure 7.9



Ad hoc Treasury Bills

It was issued for a particular end or case in hand. Till 1991–92, there